

**SASINI LIMITED****SASINI HOUSE, LOITA STREET,P.O BOX 30151-00100, NAIROBI****(A Member of The Sameer Group)****ANNOUNCEMENT OF RESULTS FOR THE SIX MONTHS ENDED 31 MARCH 2014 (Unaudited)**

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME	Group		Company	
	31.03.2014 Ksh '000	31.03.2013 Ksh '000	31.03.2014 Ksh '000	31.03.2013 Ksh '000
Revenue	1,377,568	1,474,913	281,340	205,932
Gains/(Losses) arising from changes in fair value of biological assets less cost to sell	(12,334)	50,253	49,110	25,421
Results from operating activities	39,463	285,059	82,346	23,117
Finance income	5,854	2,678	5,336	1,836
Finance cost	(4,573)	(1,369)	(4,573)	(1,369)
Profit before tax	40,744	286,368	83,109	23,584
Tax expense	(12,223)	(85,910)	(24,933)	(7,075)
Profit for the year	28,521	200,458	58,176	16,509
Profit attributable to:				
Non-controlling interest.	5,727	(6,362)	-	-
Owners of parent	22,794	206,820	58,176	16,509
	28,521	200,458	58,176	16,509
Profit / (losses) arising from operating activities.	39,713	170,545	23,799	(1,286)
Gains arising from changes in fair value in biological assets after tax.	(16,919)	36,275	34,377	17,795
	22,794	206,820	58,176	16,509
Earning per share (Kshs) on operating activities	0.17	0.75	0.10	(0.01)
Earning per share (Kshs) on biological assets	(0.07)	0.16	0.16	0.08
Earning per share (Kshs)	0.10	0.91	0.26	0.07
Issued and fully paid shares of Kshs 1 each	228,055	228,055	228,055	228,055

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2012	228,055	98,530	1,891,423	2,835,840	1,182,809	57,014	133,131	6,426,802
Total comprehensive income for the period				206,820				
Profit for the period				36,275	(36,275)		(6,362)	200,458
Appropriation of gains on biological assets					27,999			-
Excess depreciation on revaluation			(27,999)					-
Deferred tax on revaluation			8,233				167	8,400
Total comprehensive income for the period	228,055	98,530	1,871,657	2,872,115	1,381,353	57,014	126,936	6,635,660
Transactions with owners of the company recorded directly in equity								
Final dividend for 2012 paid					(57,014)	(57,014)		(57,014)
Interim 2013 dividends declared					(57,014)			(57,014)
Total distribution to owners of the company	-	-	-	-	(57,014)	-	-	(57,014)
At 31 March 2013	228,055	98,530	1,871,657	2,872,115	1,324,339	57,014	126,936	6,578,646
At 1 October 2013	228,055	98,530	1,815,574	2,831,712	1,309,162	-	99,878	6,382,911
Total comprehensive income for the period								
Profit for the period					22,794		5,727	28,521
Appropriation of gains on biological assets				(16,919)	16,919			-
Excess depreciation on revaluation			(26,982)		26,982			-
Deferred tax on revaluation			8,095					8,095
Total comprehensive income for the period	228,055	98,530	1,796,687	2,814,793	1,375,857	-	105,605	6,419,527
Transactions with owners of the company recorded directly in equity								
Final dividend for 2013 paid					(57,014)	(57,014)		(57,014)
Interim 2014 dividends declared					(57,014)			(57,014)
Total distribution to owners of the company	-	-	-	-	(57,014)	-	-	(57,014)
At 31 March 2014	228,055	98,530	1,796,687	2,814,793	1,375,857	-	105,605	6,419,527

COMPANY STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2012	228,055	40,594	1,158,925	914,528	381,232	57,014	-	2,780,348
Total comprehensive income for the period								
Profit for the period					16,509			16,509
Appropriation of gains on biological assets				(17,795)	17,795			-
Excess depreciation on revaluation			(7,479)		7,479			-
Deferred tax on revaluation			2,244					2,244
Total comprehensive income for the period	228,055	40,594	1,153,690	896,733	423,015	57,014	-	2,799,101
Transactions with owners of the company recorded directly in equity								
Final dividend for 2012 paid					(57,014)	(57,014)		(57,014)
Interim 2013 dividends declared					(57,014)			(57,014)
Total distribution to owners of the company	-	-	-	-	(57,014)	-	-	(57,014)
At 31 March 2013	228,055	40,594	1,153,690	896,733	366,001	57,014	-	2,742,087
At 1 October 2013	228,055	40,594	1,109,899	981,741	348,353	-	-	2,708,642
Total comprehensive income for the period								
Profit for the period					58,176			58,176
Appropriation of gains on biological assets				34,377	(34,377)			-
Excess depreciation on revaluation			(8,693)		8,693			-
Deferred tax on revaluation			2,608					2,608
Total comprehensive income for the period	228,055	40,594	1,103,814	1,016,118	380,845	-	-	2,769,426
Transactions with owners of the company recorded directly in equity								
-	-	-	-	-	-	-	-	-
At 31 March 2014	228,055	40,594	1,103,814	1,016,118	-	380,845	-	2,769,426

CONSOLIDATED STATEMENT OF FINANCIAL POSITION.

	Group		Company	
	31.03.2014 Ksh '000	30.09.2013 Ksh '000	31.03.2014 Ksh '000	30.09.2013 Ksh '000
ASSETS				
NON-CURRENT ASSETS				
Property, plant and equipment	2,256,119	2,343,387	1,403,607	1,430,257
Capital Work-in-progress	55,444	39,934	-	-
Intangible Assets	10,828	11,686	4,855	3,565
Biological Assets	5,281,277	5,290,774	1,613,201	1,563,222
Prepaid leases - leasehold land	20,115	20,316	7,849	7,886
Investments in Subsidiary Companies	-	-	172,697	172,697
Available-for-sale financial assets	525	525	-	-
Deferred tax asset	31,166	52,699	-	-
	7,655,474	7,759,321	3,202,209	3,177,627
CURRENT ASSETS				
Inventories	416,612	370,264	162,295	49,120
Trade and Other receivables	614,232	518,334	370,151	234,541
Amount due from related companies	-	1,092	172,611	222,697
Tax recoverable	140,623	129,991	63,812	48,873
Cash and Bank balances	439,924	275,364	299,863	203,695
	1,611,391	1,295,045	1,068,732	758,926
TOTAL ASSETS	9,266,865	9,054,366	4,270,941	3,936,553
EQUITY AND LIABILITIES				
Capital and reserves				
Share Capital	228,055	228,055	228,055	228,055
Non - Distributable Reserves	4,710,010	4,745,816	2,160,526	2,132,234
Distributable Reserves	1,375,857	1,309,162	380,845	348,353
	6,313,922	6,283,033	2,769,426	2,708,642
Non controlling Interest	105,605	99,878	-	-
Total equity	6,419,527	6,382,911	2,769,426	2,708,642
Non- current liabilities				
Deferred tax liability	1,645,037	1,678,365	555,383	543,258
Post employment benefits	285,306	261,841	21,422	18,496
	1,930,343	1,940,206	576,805	561,754
Current liabilities				
Bank loan	84,170	175,491	84,170	175,491
Post employment benefits	8,144	19,070	969	969
Amount due to Subsidiary Companies	-	-	284,739	246,631
Trade and Other Payables	824,681	536,688	554,832	243,066
	916,995	731,249	924,710	666,157
TOTAL EQUITY AND LIABILITIES	9,266,865	9,054,366	4,270,941	3,936,553

CONSOLIDATED CASHFLOW STATEMENT

OPERATING ACTIVITIES				
Cash Flow Generated from Operations	324,355	459,957	224,033	219,812
Tax Paid	(26,652)	(271,296)	(25,137)	(82,700)
Net cash flows (used in) generated from operating activities	297,703	188,661	198,896	137,112
INVESTING ACTIVITIES				
Purchase of Property, plant and equipment	(37,355)	(211,243)	(10,452)	(26,581)
Purchase of Intangible Assets	-	(1,210)	-	(148)
Capital Work in progress	-	(2,057)	-	-
Interest received	5,355	1,639	5,336	7
Proceeds on sale of property, plant and equipment	-	22,307	-	19,123
Net cash flow used in investing activities	(32,000)	(190,564)	(5,116)	(7,599)
FINANCING ACTIVITIES				
Interest paid	(4,573)	(4,651)	(4,573)	(4,618)
Proceeds from bank loans	83,769	175,491	83,769	175,491
Loans repayments	(175,091)	(55,703)	(175,091)	(55,703)
Dividend received from subsidiary company	-	-	-	-
Dividend paid on ordinary shares	-	(114,028)	-	(114,028)
Net cash flow used in financing activities	(95,895)	1,109	(95,895)	1,142
Net (Decrease) /Increase in Cash and cash equivalents	169,808	(794)	97,885	130,655
Cash and cash equivalents at the beginning of the year	275,364	268,481	203,695	65,282
Effect of exchange rate changes	(5,248)	7,677	(1,717)	7,758
Cash and cash equivalents at the end of the year	439,924	275,364	299,863	203,695

**Savanna The Coffee Lounge now open at:-**

- Sasini House, Loita Street
- Upper Hill next to General Accident House
- United Nation Recreation Centre, Gigiri
- Sameer Business Park

COMMENTS ON THE RESULTS (UNAUDITED) FOR THE SIX MONTH PERIOD ENDED 31ST MARCH, 2014

The results for the half-year ended 31st March, 2014 indicate a profit arising from operating activities of Kshs.39.713 million compared to Kshs.170.545 million for the same period in the previous year.

The decrease in the profits is largely as a result of significantly lower prices of tea and lower production volumes of coffee in the period under review. The decline in realizations of tea auction prices which has persisted from the last quarter of the previous year is attributed to over-supply in the industry. The poor rainfall in the first quarter restricted production volumes of coffee. Our tea division has however met its projected production targets for the period but due to poor performance in the auction, fell far below the target in price realization.

Coffee prices improved during the year following poor performance of Brazilian coffee. However, results were weighed down by the reduced production volumes to date due to poor rainfall and the effects of weakening Kenya shilling which has contributed to higher production costs of inputs. It is projected that higher production cost will persist into the second half following the implementation of the new NSSF Act. Other costs expected to increase include, power and agricultural inputs to be driven by the continued weakening of the exchange rate.

In order to mitigate these negative impacts, the company will continue to implement cost cutting measures across businesses, aggressively expand retail and export divisions and improve the company's performance in the second half. The reduction in the valuation of biological assets of Kshs.12.334 million for the six month period was driven mainly by lower tea prices.

INTERIM DIVIDEND

In view of the performance in the first half and the need to conserve necessary cash resources for operations, the Board does not propose an interim dividend (2013: Kshs.57.014 million).

PROFIT WARNING ANNOUNCEMENT

This announcement is made by Sasini Limited pursuant to Regulation G.05 (1), (f) and (2) of the Nairobi Securities Exchange Listing Manual and the Capital Markets (Securities) Public Offers, Listing and Disclosures Regulations, 2002.

The results for the first six months are more than 25% lower than for the same period last year. Consequently, there is good reason to expect that the result for the full year will also be more than 25% lower than the previous financial year should the prices of tea remain depressed.

The Board of Directors of Sasini Limited wishes to inform the shareholders of the Company and potential investors that the Company's projected earnings for the year ending 30th September, 2014 are expected to be more than 25% lower than the reported earnings for the previous financial year ended 30th September, 2013.

This profit warning is based on the first half year results and forecasts of the Company and preliminary evaluation made by the Board with reference to the figures and information currently available, and is not based on any audited figures or information.

Dr. J.B. McFie, PhD, MBS
Chairman

28th May, 2014*The above extract is based on the Consolidated financial statements of Sasini limited for six months ended 31st March 2014*